Lessons from the 1970s: The "Great Inflation"

Susanna Grigoryan

Recent Staff Member, Monetary Policy Department, Central Bank of Armenia

Student, Global Forecasting School

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Note

1. Overview and Historical Context

The Great Inflation of the 1970s stands as one of the defining episodes in the history of modern macroeconomics. It marked the breakdown of the post-war Keynesian consensus and forced a fundamental rethinking of how monetary policy should be conducted. Throughout the 1950s and early 1960s, policymakers believed they could fine-tune the economy, maintaining both full employment and price stability. This confidence was grounded in the apparent stability of the Phillips Curve, which suggested a reliable trade-off between inflation and unemployment.

However, the economic environment of the late 1960s and 1970s proved far more complex. Wage-setting behaviour, productivity shocks, and shifts in inflation expectations all interacted in ways that made this trade-off unstable. As inflation accelerated, the credibility of central banks deteriorated, and inflation expectations became unanchored. These developments ushered in a new era of macroeconomic instability, culminating in what became known as the Great Inflation.

2. The Phillips Curve Debate and the Natural Rate Hypothesis

At the heart of this intellectual shift were two seminal contributions: Milton Friedman's 1968 American Economic Association presidential address, "The Role of Monetary Policy," and Edmund Phelps's work on wage and price dynamics. Both argued that any apparent trade-off between inflation and unemployment was temporary. In the long run, unemployment would return to its "natural rate," determined by structural features of the labour market, while inflation would continue to rise if monetary policy remained too loose.

Friedman and Phelps introduced the idea that expectations play a central role in determining inflation outcomes. Once workers and firms anticipate higher prices, they adjust wages and contracts, accordingly, embedding inflation into the system. The result is an upward drift in inflation without any sustained employment gains. This insight marked the birth of the expectations-augmented Phillips Curve, the foundation of modern monetary policymaking.**3. Policy Failures and the Great Inflation**

The Great Inflation was not caused by a single shock but by a series of policy misjudgements that interacted with external disturbances. Expansionary fiscal and monetary policies, aimed at maintaining high employment, were pursued even as inflation pressures grew. The first oil shock of 1973–74 amplified these pressures, pushing up costs and further unsettling expectations.

Policymakers initially viewed these developments as temporary and believed inflation could be reduced gradually without recession. However, this misconception allowed the periodic oil price shocks of the 1970's to feed into higher inflation expectations, and the economy entered a vicious circle of wage-price dynamics. Attempts to restrain inflation through price and wage controls failed, and the credibility of central banks declined sharply. By the late 1970s, inflation had become deeply entrenched, with long-term expectations rising well above levels consistent with price stability.

4. The Volcker Disinflation and the Return to Credibility

It was only after a dramatic policy shift under Paul Volcker at the U.S. Federal Reserve that inflation began to fall. Volcker's approach emphasized monetary restraint and a willingness to tolerate short-term output losses to restore price stability. The resulting disinflation was painful but transformative: it demonstrated that credible policy actions could realign expectations and bring inflation under control.

Debelle and Laxton (1996) build on the Phillips curve analysis by introducing convexity and show that when inflation expectations drift higher, the costs of bringing inflation back down increase disproportionately. This explains why the disinflation in the early 1980s required such forceful action by Volcker.

The Volcker episode also illustrated a key principle of modern monetary policy, that central banks must act decisively and communicate clearly about their commitment to price stability. This experience laid the groundwork for the inflation-targeting frameworks that emerged in the 1990s and later evolved into flexible, risk-aware approaches such as FPAS Mark II.

5. Legacy for Modern Frameworks

The lessons of the Great Inflation reshaped central banking worldwide. They led to the recognition that monetary policy cannot exploit short-run trade-offs indefinitely and that credibility, transparency, and accountability are essential for maintaining price stability.

Freedman and Laxton, "Why Inflation Targeting?", explains that modern inflation targeting rests on two crucial ideas: first, there is no long-run trade-off between inflation and unemployment; and second, policymakers face a time-inconsistency problem that encourages surprise inflation without long-run benefits as initially proposed by Kydland and Prescott (1977).

In practice, this intellectual transformation gave rise to inflation targeting, a framework that emphasizes forward-looking policy, clear nominal anchors, and communication as tools for shaping expectations. As inflation targeting matured, it evolved into the Forecasting and Policy Analysis System (FPAS), which integrated modelling, scenario analysis, and structured policy discussions to support consistent, credible decision-making.

6. Armenia's Application: The Prudent Risk Management Approach

For the Central Bank of Armenia, the lessons of the Great Inflation are not abstract history. They underpin the evolution of the Prudent Risk Management Approach to Price Stability, FPAS Mark II. This framework recognizes that policymakers must operate under uncertainty and that overconfidence in a single model or baseline scenario can lead to costly mistakes.

The benefits of the new framework could already be seen prior to the official adoption of FPAS Mark II in 2025. While the new framework was being developed, the CBA was already approaching the COVID-19 pandemic era economy with risk management in mind. Prominent competing narratives in 2021 was whether inflation would be temporary or persistent. This led to the focus of using sticky and flexible price inflation as a relevant framework for analysing the economy during that time. During both the 1970s and the 2021–22 inflation surge, sticky-price components moved sharply upward, signalling persistent inflation pressures earlier than many policymakers recognized. Unfortunately, many central banks relied too heavily on mechanical nowcasting models, unreliable survey expectations, and output gap estimates that did not account for pandemic-driven supply disruptions. These errors delayed policy tightening and allowed inflationary pressures to build. Meanwhile, the CBA was one of the first central banks in the world to start tightening monetary policy to prevent inflation from getting entrenched.

FPAS Mark II moves beyond deterministic analysis toward a system that explicitly weighs risks and alternative scenarios. It builds credibility not by claiming precision, but by demonstrating prudence, acknowledging uncertainty, managing expectations, and acting consistently with a well-defined objective of price stability. This approach directly reflects the intellectual legacy of the 1970s: humility, adaptability, and a deep understanding of how expectations drive economic outcomes.

Literature & Further Reading

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Script

Hello everyone, I'm **Susanna Grigoryan** from the Monetary Policy Department at the Central Bank of Armenia. Welcome to this episode of the CBA Academy series.

In this video, we explore the essential lessons from the Great Inflation and how they remain directly relevant today.

A key reference for this discussion is the IMF Working Paper by Charles Freedman and Douglas Laxton, “Why Inflation Targeting?” This paper explains that modern inflation targeting rests on two crucial ideas: first, there is no long-run trade-off between inflation and unemployment; and second, policymakers face a time-inconsistency problem that encourages surprise inflation without long-run benefits.

Another important insight comes from Guy Debelle and Douglas Laxton’s 1996 paper on the convex Phillips curve. The authors show that when inflation expectations drift higher, the costs of bringing inflation back down increase disproportionately. This explains why the disinflation in the early 1980s required such forceful action.

To understand the inflation process, we must distinguish between flexible and sticky prices. Flexible prices react quickly, but they often respond to idiosyncratic shocks. Sticky prices, which make up about 70 percent of the CPI basket, adjust infrequently and reveal firms’ beliefs about inflation over the contract horizon. Sticky-price inflation provides some of the best signals about the underlying inflation process.

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Unfortunately, in 2021–22 many central banks relied too heavily on mechanical nowcasting models, unreliable survey expectations, and output gap estimates that did not account for pandemic-driven supply disruptions. These errors delayed policy tightening and allowed inflationary pressures to build.

FPAS Mark II is designed to avoid such mistakes by focusing on scenario-based analysis and embedding uncertainty directly into the policy process. It encourages economists to examine price-setting behaviour, expectations, and sectoral demand conditions—not just model-generated baselines.

Thank you for watching. I would like to thank **Douglas Laxton**, **Jared Laxton**, **Asya Kostanyan**, and **Sopio Mkervalidze** for their guidance in producing this series. See you in the next video.

See you there.